Wendt (India) Ltd

Concall Tracker · Q2 FY2027 (quarter ended 30 Sep 2026) · NSE: WENDT · BSE: 505412 · Report prepared 7 Nov 2026

Not investment advice. Do your own due diligence. An AI-generated reading of the company's public filings. This company holds no earnings calls. This report continues from our Q1-2027 report.

1. Snapshot

What it does: Wendt makes superabrasive grinding wheels and tools (synthetic diamond and CBN), the CNC grinding machines that use them, and precision ground components, from Hosur, Tamil Nadu. It is a Murugappa-group company (CUMI owns 37.5%); its German co-promoter sold out in May 2025. Subsidiaries in Thailand and Germany.

Measure	Value	Plain read
Market cap	₹1,430 cr	Down from ₹1,628 cr at our last report. Only 20 lakh shares, so the price per share is high and the stock trades thinly.
P/E	~52	About 52 years of current profit. Expensive for a company growing in fits and starts.
Q2 FY27 standalone sales	₹59.3 cr (+19%)	Up on last year but a touch below Q1's ₹61.2 cr. Domestic +22%, exports +6%.
Q2 standalone profit	₹6.3 cr (+38%)	Better than last year, below Q1's ₹8.0 cr.
Operating margin	~18.7% (Q1: 20.8%)	Slipped back as the machine division swung to a loss.
Consolidated profit	₹5.5 cr (+103%)	Lower than standalone, so the overseas subsidiaries still lose money.
Debt	Nil	No borrowings; financially safe.

2. Coverage: sources used

No concall transcripts were available on Screener — this report is based on a global web deep-dive. Wendt has held no earnings call since May 2025 and none was announced for Q2 FY27 on NSE. Sources: (1) Board-meeting outcome and results with segment table, 21 Oct 2026; (2) Press release, 21 Oct 2026; (3) Capital infusion into Wendt GmbH filing, 22 Oct 2026; (4) Screener quarterly data; (5) the Q1-2027 report for backstory (annual report FY26, AGM Aug 2026, ICRA rationale).

★ Latest update highlights — Q2 FY27 (results 21 Oct 2026)

- **Superabrasives carried the quarter:** segment revenue ₹45.7 cr, up 22% on last year; segment profit ₹9.7 cr against ₹6.5 cr. This is the core grinding-wheel business and it grew properly.
- **Machines fell back:** ₹7.6 cr of revenue against ₹11.7 cr in Q1, with a ₹2.0 cr segment loss. Q1's tripling was the unshipped March machine backlog clearing, as we suspected.
- **Precision components flat:** ₹7.3 cr, barely profitable.
- **More money into Germany:** EUR 0.55 million (about ₹5.9 cr) put into Wendt GmbH "to meet subsidiary's ongoing operational requirements".
- **Company's own words:** profit up "mainly due to higher volume and cost optimization initiatives" despite costlier inputs. Exports grew in Europe, South-East Asia and Eastern Europe.

Business mix & capacity. Domestic ~81% / exports ~19% of standalone Q2 sales (₹47.9 cr vs ₹11.3 cr). Capacity utilisation not disclosed in any recent filing.

★ Since our last report (builds on the Q1-2027 report, results of 24 Jul 2026)

Prior verdicts: **Trigger QUALIFIED YES · Consistency NO.**

Prior read	What we said then	What the new filings show	Movement

Trigger: machine recovery	Backlog lifts next two or three quarters	Machines back to a loss in Q2; backlog effect mostly spent	Slipping
Superabrasives	The dependable core	+22% with fatter segment profit	Improving
Exports / Europe brand bet	Exports shrank, German arm loss-making	Exports +6%; German arm needed fresh cash	Slipping
Consistency / disclosure	No calls, chairman declined to start them	Still no call; results by filing only	Unchanged

The prior report had no checkpoints box. **Checkpoint results: n/a (no stored checkpoints)**.

Verdict change: trigger downgraded from qualified YES to MAYBE, because the machine bounce faded as soon as the backlog shipped. Consistency unchanged.

★ 3. Earning-trigger thesis

With no calls, the trigger can only be read from the numbers. The one part clearly working is domestic superabrasives, up 22% with better segment margins. The machine business has no steady demand of its own yet, the solar-glass grinding-wheel line and peripheral grinding machines from the last annual report aren't visible in the numbers, and the German subsidiary keeps needing money.

Trigger	What the company said	Evidence so far	Horizon	Strength	Change since last report
Superabrasive wheels	Higher volume, cost cuts	Segment +22%, profit up by half	Now	Moderate	↑
Machine tools	Backlog orders shipped (Q1)	Fell back to loss in Q2	Unclear	Weak	↓
Solar-glass wheels, peripheral grinders	Line built, tech transfer done (AR FY26)	Not separately visible	FY28?	Unproven	Unchanged
Europe via Wendt GmbH	Brand purchase to drive exports	Exports +6%; fresh EUR 0.55m needed	Multi-year	Weak	↓

3b. Trigger check

Trigger type	Yes/No	What was said (date)
Debt cut	No	Already debt-free
New business	No	Nothing new announced
Margin up	No	Margin fell from Q1; press release credits cost cuts for profit growth vs last year only
New management	No	Not in the filings
New capacity	No	Not in the filings
Big orders	No	No order book disclosed
Turnaround	No	Not claimed
Promoter buying	No	Not in the filings

Single concrete driver: domestic sales of superabrasive grinding wheels, which grew strongly with better segment margins.

3c. Margin bridge

Operating margin about 18.7% against 20.8% in Q1, though above last year. Superabrasives earned more; the machine division's swing to a ₹2 cr loss pulled the total down. The machine loss looks like the end of a one-off backlog, not a trend change. (one-off)

4. Management consistency scorecard

Period	What was promised	What actually happened	Verdict
FY25-26	₹20-25 cr annual capex	₹8 cr delivered (prior report)	Missed
FY25-26	Faster exports through the Wendt brand	Exports fell in FY26; +6% in Q2	Missed
Jul 2025 AGM	No quarterly investor calls	Still none	Delivered (sadly)
FY26 AR	Solar-glass wheels and peripheral grinders	No visible revenue yet	Too-early

Narrative drift. There is barely a narrative to drift: a two-paragraph press release a quarter. The German subsidiary needing fresh cash, without any explanation of its losses, is the kind of thing a call would let shareholders ask about.

5. Bottom line

Durable earning trigger? → MAYBE vs last quarter: downgraded

Downgraded because the machine bounce was the backlog and it's gone. What's left is a decent core: superabrasives growing in the twenties with better margins. That's real but it's not a step-change, and the price assumes more.

Management consistent? → NO vs last quarter: unchanged

Nothing to test against: no calls, no guidance, no explanation for continued German losses. The earlier missed capex and export promises stand.

★ 6. Checkpoints for next quarter

- Superabrasives keep growing year on year at a similar pace
- Machines segment back to a profit
- Consolidated profit no lower than standalone (subsidiaries stop losing money)